Lyondell Chemicals – Why This Case?

35802 – Financial Strategy

Winter 2026

Per Strömberg
University of Chicago
Booth School of Business

Lyondell Chemicals: What happened?

- Feb 27, 2009: Bankruptcy court approves the terms of LyondellBasell’s proposed $8.0 billion DIP

- April 2009: LyondellBasell’s unsecured creditors committee sue the banks involved in the 2007 Lyondell/Basell merger
  - claiming that debt issued to finance the deal forced the company into bankruptcy. (Blavatnik is later added as a defendant in July.)

- April 2009: LyondellBasell AF S.C.A. is added to the Chapter 11 proceedings.

- May/July 2009: New CEO and CFO hired

- July 11, 2009: LyondellBasell files a first reorganization plan with the bankruptcy court
  - DIP loan repaid in full, senior lenders get equity, new equity raised (rights offering)
  - Apollo very involved in plan
- Nov 2009: Reliance Industries makes a bid for LyondellBasell for an estimated \$10 - \$12B EV
  - Voting on reorganization plan postponed
  - LyondellBasell gets extension on \$8B DIP loan until June 2010
- Dec 2009: Banks pay unsecured creditors \$300M to settle.

- **April 2010: New reorganization plan approved.**
  - Company emerges as a going concern
    - » $10Bn of equity, $5Bn of debt, and a $3Bn credit line
  - Who got what?
    - » DIP-loan paid off in full in cash
    - » Secured creditors get the equity in the reorganized firm
    - » Everyone else (unsecured debt, bonds equityholders) get zero
  - Apollo largest shareholder, gets 2 board seats
    - » Blavatnik still significant shareholder through his debt claim

- October 2010: **LyondellBasell relists on NYSE**
  - Did well over following years after operational restructuring.
  - Apollo reported to have realized strong return on their investment.

Lyondell Chemicals: Why this case?

- I. Example of Chapter 11 procedure.
- II. Valuation issues in bankruptcy and financial distress
- III. The role of activist investors in bankruptcy

I. Reorganizing in Chapter 11

- Merits of Ch. 11 subject to debate among academics and practitioners
- Pros: Avoids inefficient liquidations
  - Gives firm protection from creditors (Autom. Stay)
  - Access to new senior financing (DIP financing)
  - Gives management a chance to turn company around (exclusivity period)
- Cons: Leads to inefficient bargaining
  - Time consuming and costly in terms of direct costs
  - Delays resolution of distress → indirect costs high
  - Too much power to management
    - Allows management to "go for broke"
  - Too much renegotiation of original debt contracts
    - Will make debt financing more costly

- Empirical evidence mixed:
- Direct costs 3-5% of firm value. (Small/large?)
- No systematic evidence of large indirect costs
  - Andrade & Kaplan (1998), airline competition
  - However, costs can be high in some cases (Eastern Airlines)
- Not much evidence that management "goes for broke"
  - Rather, process seems to be run by secured and DIP-lenders
- Is Ch.11 successful in restructuring debt?
  - Larger debt restructurings achieved in Ch.11, compared to out-of-court deals (which often end up in Ch.11 anyway)
  - Still, "Chapter 22" not uncommon
- Other bankruptcy codes (e.g. auctions) end up working pretty much in the same way as Ch. 11
  - Auction procedures often lead to reorganizations (Strömberg,2000).
  - Ch. 11 often ends up in auctions / acquisitions

Chapter 11 rules

- Protection from creditors
  - Automatic stay
- Continue to operate during process
  - Management keeps running company
  - Bankruptcy judge oversees
- Ability to raise additional financing
  - Debtor-in-possession (DIP) financing
  - (Super-)senior
- Bankruptcy judge decides on major decisions
  - Principle: no claimant / creditor is worse off

- Goal of process: What should happen with company?
  - Reorganize and emerge as a going concern?
  - Sell company / assets
  - Liquidation (convert case into Chapter 7)

- Reorganization plan
  - Management has 3-6 months to propose plan
    - If not approved others can propose alternative plans
  - Plan contains:
    - What should happen to company
    - If reorganises, what should new capital structure look like
    - How should value be divided by different <u>classes</u> of claimants (claims with same seniority, defined in plan)

- Plan gets approved if:
  - Each (impaired) class votes in favour
    - » >50% of claimants, >2/3 of value
  - Plan is “fair” = No class is worse off than next-best alternative
  - Plan is “feasible” = company is economically and financially viable post-bankruptcy

II. Valuation in bankruptcy and fin. distress

- Valuation critical in bankruptcy.
- Court requires valuation of assets under different scenarios to approve reorganization:
  - Show worth more as going concern than liquidated
  - Show creditors get at least liquidation value
  - Show reorganization plan yields highest value
- Valuation often very tricky .
  - Hard to figure out value of distressed assets
    - » Is there a market for company assets?
    - » Is the firm economically viable?
    - » What happens if the firm is liquidated?
  - Strong incentives for different parties to bias valuation
    - » Senior creditor: “Value is low”
    - » Junior creditor / equity holder: “Value is high”

Valuation plays multiple roles in Ch. 11

- Need to show which outcome maximizes bankruptcy proceeds
  - Liquidation
  - Sale (to whom)
  - Reorganization (in what form)
- Need to show that claimants are not worse off compared to alternative outcomes
  - DIP loan
  - Liquidation vs reorganization
- Impact on who gets to vote
  - Is class impaired (payout >0% and <100%) or not?

→ Claimants will use valution strategically (→ biases)

III. Activist Investors in Ch. 11

- Started in U.S. late 80’s, surged in 2000’s thanks to active trading in bank loans, trade claims, apart from bonds
  - Spreading to rest of world
- “Special situation” (or “Vulture”) funds, like Apollo, Cerberus, and Oaktree, buy distressed debt in order to play explicit role in renegotiations.
- Two ways to make money:
  - Propose and implement restructuring plan, similar to PE strategy
  - Try to extract value from other claimants, e.g. by suing or threatening to block reorganization plan ("Bondmail“)
    - » Potential empty votes problem – see TELUS discussion

- Limited evidence on “vulture investors” in restructuring
  - Many distressed investment funds have been very successful (Oaktree, Apollo, Appaloosa) and end up controlling shareholders in large fraction of US bankruptcies
    - » At the expense of others?
  - One study has shown positive stock price reaction when vultures acquire junior claims, negative when they acquire senior claims

- My view: on the margin, these investors make restructuring and bankruptcy resolution more efficient
  - But abuses do exist
  - See Gilson article in packet.